Paraguay's President Removed From Office After Bank Collapse

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Paraguay's president has been removed from office after a bank collapse left millions unable to reach their money. President Santiago Peña was **impeached** on Friday, just days after Ueno Bank, a digital bank, collapsed earlier in the week. The collapse left more than half of the country's population without access to their accounts. About three million **depositors** still cannot reach their savings and **pensions**. The bank was seized by Paraguay's central bank, and people in the capital, Asunción, have protested. Lawmakers voted to remove Peña. The Senate voted 44 to 0, with one lawmaker absent. The charges included **conflicts of interest**, interference with regulators, and diverted pension funds. Peña held shares until last year in the company that owned the bank, but he has denied any wrongdoing. Senate president Basilio Núñez said Pena was found guilty of failing in his duties. Peña was arrested on Friday and placed under house arrest. His deputy, Pedro Alliana, has been sworn in as **interim** president and will serve until 2028. Alliana promised that people affected by the collapse will be fully **compensated**.

Word Treasure

impeached -- When lawmakers vote to remove a leader from their job because they think the leader did something wrong.

depositors -- People who put their money into a bank to keep it safe.

pensions -- Money that people save up to live on after they stop working.

interim -- Someone who does a job for a short time until a new person takes over.

compensated -- Given money back to make up for money that was lost.

conflicts of interest -- When a leader's own money or business could affect the fair choices they should make.

Background you need

A bank is a place where people keep their money safe, and a digital bank lets people use their money through a phone or computer instead of going to a building.

When a bank collapses, people can suddenly lose access to their savings, and the country's central bank may step in to take control of it.

A president is the leader of a country, and lawmakers can vote to remove a president from the job if they believe the leader failed in their duties.

Break it down

WHO: President Santiago Peña, the Senate, and Pedro Alliana
WHAT: Lawmakers removed Peña from office after Ueno Bank collapsed and millions of people lost access to their money
WHERE: Paraguay, including the capital, Asunción
WHY: The charges included conflicts of interest, interference with regulators, and diverted pension funds

Why it matters

It matters because families keep their savings in banks, and when a bank fails, a family may not be able to pay for the things it needs.

Test what you remember

1. What happened to Ueno Bank?

- (A) It moved to another country
- (B) It opened a new branch
- (C) It collapsed
- (D) It gave everyone extra money

2. About how many people still cannot reach their savings and pensions?

- (A) About three thousand people
- (B) About three hundred people
- (C) About thirty people
- (D) About three million people

3. How did the Senate vote on removing Peña?

- (A) 44 to 0
- (B) 0 to 44
- (C) 10 to 44
- (D) 22 to 22

4. Who became interim president?

- (A) Ueno Bank
- (B) Pedro Alliana
- (C) Basilio Núñez
- (D) Santiago Peña

5. What did Alliana promise?

- (A) That no one will get their money back
- (B) That people affected by the collapse will be fully compensated
- (C) That the president will return to office
- (D) That the bank will stay closed forever

6. What happened to Peña after he was removed from office?

- (A) He became a lawmaker
- (B) He was arrested and placed under house arrest
- (C) He opened a new bank
- (D) He left the country

Answer key (try the quiz first!): 1: C 2: D 3: A 4: B 5: B 6: B

Questions to think about

1. Santiago Peña: He has denied any wrongdoing.
2. Basilio Núñez: He said Peña was found guilty of failing in his duties.
3. Pedro Alliana: He promised that people affected by the collapse will be fully compensated.

MY THOUGHTS (at least 20 words):